Engagement Letter

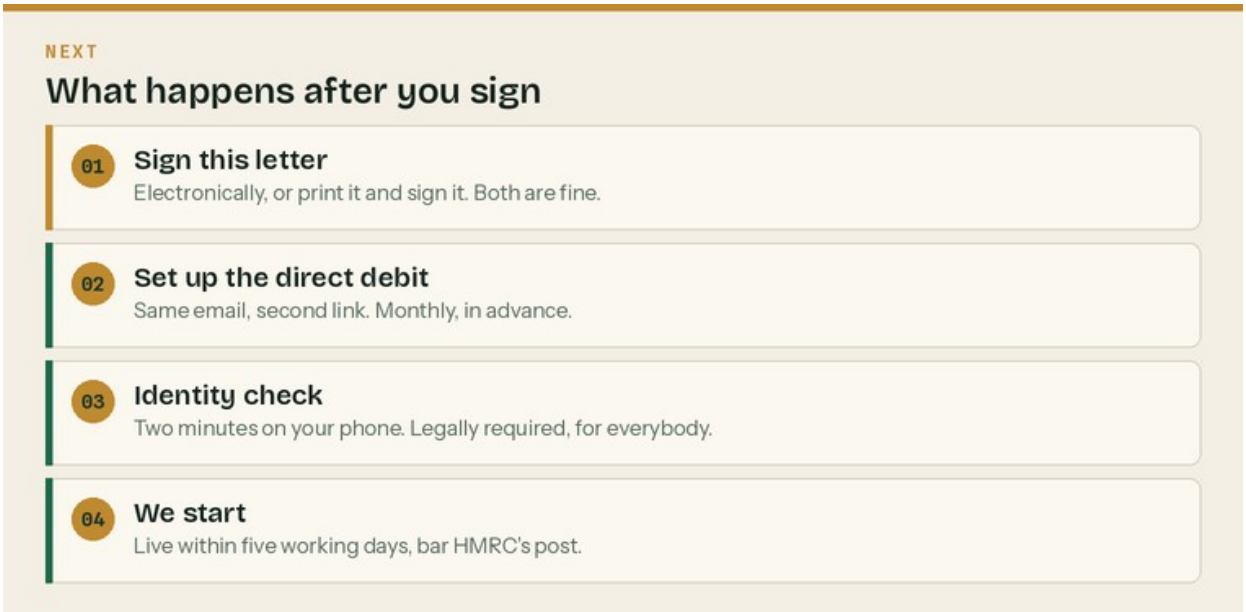
The covering letter, the Schedule of Services, and the fee. Signed once, held for twelve months.

Read this before you use this document

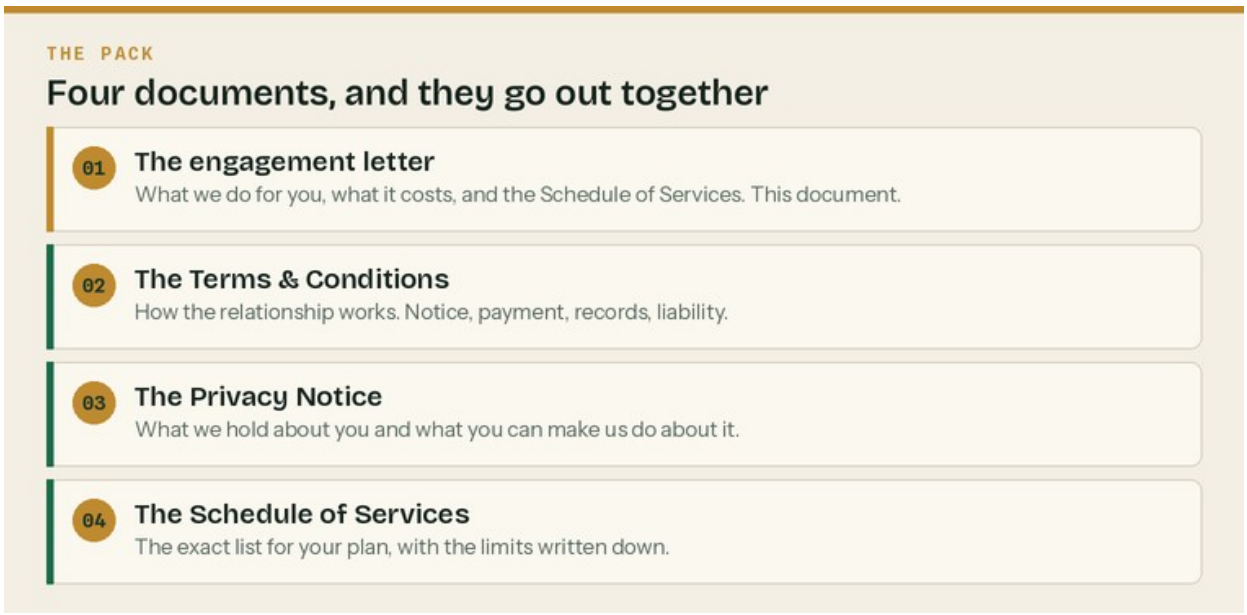
This is a working template. It has been drafted carefully and checked against the sources listed at the end, but it is **not legal advice and it has not been settled by a solicitor**. Have it reviewed by a solicitor, or by the Institute of Certified Bookkeepers, before you issue it to anybody. And it cannot be used to take on a bookkeeping client until Klyara's AML supervision is in place — an ICB Practice Licence includes AML supervision and takes about 28 days to process. Until that licence is granted, Klyara cannot lawfully carry on bookkeeping by way of business.

HOW TO USE THIS TEMPLATE

Replace everything in **[square brackets]**. Delete the schedule rows that do not apply to the plan the client is on. Send it with the direct debit link in the same email, and with the **Terms & Conditions** and the **Privacy Notice** attached — this letter does not stand on its own.



What the client does after they sign. Four steps, and only two of them are theirs.



This letter does not stand on its own. Four documents go out together.

Before you send it

☐	Fee and plan agreed on the call	☐	Liability cap decided, with advice
☐	Professional indemnity cover in place	☐	AML supervision granted
☐	Schedule 1 trimmed to their plan	☐	Direct debit link ready in the same email

The letter

Client name	
Business name	
Address	
Date of this letter	
Start date of the engagement	
Plan	*Solo, Start, Trade or Pro*
Monthly fee, excluding VAT	*£*

Dear **[Name]**,

Bookkeeping, VAT, CIS and payroll for [Business name]

Thank you for asking Klyara to look after the books. This letter sets out exactly what we will do, what it costs, and how either of us ends it. It is deliberately short. The detail sits in the Schedule of Services below and in our Terms & Conditions, which are attached and form part of this agreement.

What we are doing for you. You are on the **[Plan]** plan. Everything in Schedule 1 below is included in the monthly fee. Anything not in Schedule 1 is out of scope — we will still do it, but we will tell you the price before we start and we will not begin until you have said yes in writing. Schedule 2 is our published rate card for that work.

What it costs. £[FEE] a month plus VAT, billed monthly in advance. The invoice is issued on the 25th of the preceding month and collected by direct debit on the 1st. Standing order is accepted if direct debit does not suit.

Your fee is held for twelve months

£[FEE] is a founding client rate and it is **held for twelve months from your start date**. It will not go up inside that period for any reason. At the end of the twelve months we will write to you at least sixty days before any change, telling you the new figure and the date it takes effect. After that first review, any increase is small, predictable, in the same month each year, and always with sixty days' written notice.

Ending it. Thirty days' notice, in writing, either way. There is no minimum term, no tie-in and no exit fee. You do not have to give a reason and we will not ask for one.

Your records stay yours. Your software subscription is included in the fee and it is set up **in your name, not ours**. Your records, your data and your logins belong to you at all times. If you leave, everything stays where it is and we hand over cleanly. We will never hold records back over money — a fee dispute is chased as a debt, separately, and never by making your own books hard to reach.

What you need to do. Get your records to us by the **10th of each month**. That one habit is what makes the rest of it work. Tell us straight away if anything changes — a new subcontractor, a new employee, a VAT registration, a new bank account. And answer the identity check quickly, because we cannot lawfully start until it is done.

If any of this is not what you expected, ring me on **020 8058 1496** before you sign it.

Yours sincerely,

[Name]

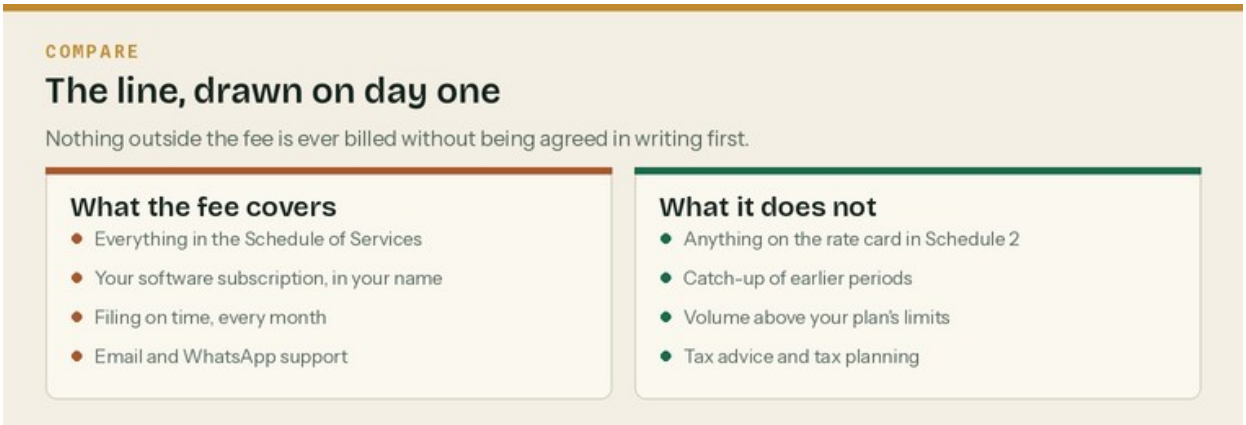
Klyara



The commercial terms, in one place. Everything above, on one line each.

Schedule 1 — Services

Tick the plan that applies and delete the rest. The limits are real limits: they are what makes a fixed fee survivable, and they are the reason your fee does not creep.



The line, drawn on day one, so nothing has to be renegotiated later.

Solo — £59 a month

IN THE MONTHLY FEE	LIMIT
Bank feed reconciled monthly	All accounts
Sales invoices raised from your job sheet or WhatsApp	10 a month
Purchase receipts captured and coded	50 items a month
CIS suffered recorded and reconciled to your statements	All
Chasing missing CIS statements from your contractors	3 chases a month
Self Assessment prepared and filed, including the CIS reclaim	Once a year
Software subscription, in your name	Included
Monthly one-page summary	Every month
Email and WhatsApp support	Answered in 1 working day

Not included on Solo. VAT registration or returns · payroll of any kind · limited company accounts or CT600 · filing monthly CIS returns as a contractor · management accounts · mortgage references beyond issuing the SA302 · catch-up of prior years.

Start — £99 a month

Everything in Solo, plus:

ADDED ON START	LIMIT
VAT returns prepared and filed, reverse charge applied both ways	Every return
Sales invoices raised	25 a month
Purchase items	120 a month
Director-only payroll with RTI, if a limited company	1 payslip a month
Year-end accounts and CT600, or Self Assessment for a sole trader	Once a year
Confirmation statement filed	Once a year
Quarterly call	15 minutes

Not included on Start. Filing monthly CIS returns as a contractor · payroll beyond the director · CIS verification of subcontractors · management accounts · budgeting and forecasting · catch-up of prior years.

Trade — £199 a month

Everything in Start, plus:

ADDED ON TRADE	LIMIT
Subcontractor verification with HMRC	Unlimited
Monthly CIS returns prepared and filed on the 12th, nil returns included	Every month
Subcontractor payment and deduction statements issued by the 19th	10 subcontractors
Materials and labour split checked on every subcontractor invoice	All
Payroll, RTI and the pension submission	5 employees
Sales invoices raised	60 a month
Purchase items	300 a month
Retentions tracked on a separate schedule and reported	Monthly
Reverse charge on sales and purchases, end user declarations chased	All
Debtor list with a suggested chase order	Monthly

Management summary: turnover, margin, CIS, retentions, cash	Monthly
Call	15 minutes a month

Not included on Trade. CITB levy returns · construction contract review · job costing beyond the monthly split · more than 5 employees · more than 10 subcontractors · catch-up of prior years · tax planning · anything requiring a site visit.

Pro — £329 a month

Everything in Trade, plus:

ADDED ON PRO	LIMIT
Payroll	15 employees
Subcontractors verified, deducted and statemented	25
Sales invoices raised	Unlimited within reason
Purchase items	700 a month
Job costing — cost and margin per job	Reported monthly
Applications for payment and valuations against the retention schedule	All
CIS suffered and deducted both reconciled	Monthly
Management accounts with a short written commentary	Monthly
Cash flow forecast	Rolled forward quarterly
Call	30 minutes a month
Response on anything urgent, in working hours	Same day

Not included on Pro. CITB levy returns · audit · corporate finance · contract or legal review · site attendance · anything a chartered accountant is properly required for.

Schedule 2 — The rate card

This is our published price list for work outside the monthly fee. Nothing on it is ever billed without being agreed in writing first. You will never get a surprise invoice from us, but you will occasionally get a quote.

WORK	PRICE
Gross payment status application, prepared and submitted	£195, free on Trade and Pro
Reverse charge setup and supplier review	£125, free at onboarding
Catch-up of prior-period books	£45/hour, capped at the quote
Additional subcontractor beyond the plan limit	£8 a month each
Additional employee on payroll beyond the plan limit	£6 a month each
Extra sales invoices beyond the plan limit	£1.50 each
CIS return for a month we did not do the bookkeeping	£45
Missed-return catch-up filing, per return	£35
Mortgage or lending pack beyond the SA302	£75
Reference letter to a lender or main contractor	£45
Ad hoc management report, one-off	£120
Company formation	£150
VAT registration	£95
CIS registration as contractor or subcontractor	£65
HMRC enquiry support	£65/hour
Software migration from another package	£195
Out-of-scope work, general	£45/hour, in 15-minute units
Late records surcharge, after the 10th	£25

How out-of-scope work actually gets handled

The first time something falls outside the plan, we usually just do it and say nothing. The second time, we do it and tell you it sits outside. The third time it has stopped being a one-off, so we will offer you a choice: fold it into the monthly fee, or bill it as it comes. Either is fine. What we will not do is quietly resent it.

Schedule 3 — The limits of what we do

This section matters more than it looks. It is here so that nobody is relying on us for something we are not doing.

We are bookkeepers, not tax advisers

Nothing in this engagement is tax advice

We prepare and file returns from the records and information you give us. We will point out things we notice — a reverse charge coded wrongly, a CIS reclaim not asked for, a gross payment status application worth making. **That is bookkeeping, not tax advice.** We do not give tax planning advice, we do not advise on the structure of your business, and we do not advise on employment status determinations. Where you need any of those, we will say so and refer you to a chartered accountant, a tax adviser or a solicitor.

What we do not do

☐	Audit	☐	Corporate finance
☐	Legal or contract review	☐	Construction contract advice
☐	Site attendance or measurement	☐	CITB levy returns
☐	Investment or pension advice	☐	Employment law advice

What sits with a different professional

IF YOU NEED	GO TO	WE WILL
Tax planning or a structure decision	A chartered accountant or tax adviser	Say so and refer you

A status determination you can rely on	An employment status specialist	Point you at CEST first
A contract read before you sign it	A construction solicitor	Tell you which clause worried us
An audit	A registered auditor	Hand over cleanly
Pension or investment advice	An IFA	Not comment at all

What we rely on you for

WE RELY ON	WHICH MEANS
The records being complete	We work from what you send. We cannot account for what we never see.
The records being on time	By the 10th. A late month is a rushed month.
You telling us when things change	A new subbie, a new employee, a new account, a VAT registration.
The information being accurate	We do not audit it and we are not required to. We will query anything that looks wrong.
Approval before filing	Nothing goes to HMRC without you approving it first.

Responsibility for the records, and for the returns made from them, remains yours. That is not us stepping back from the work — it is how the law allocates it, for every firm.

The three-strike rule on out-of-scope work

	First time	We do it. Nothing is said about the fee.
	Second time	We do it, and we tell you it sits outside the monthly.
	Third time	We offer a choice: fold it in, or bill it as it comes.

Money laundering

We are required to verify your identity before we start, to keep that evidence for **five years** after the engagement ends, and to report knowledge or suspicion of money laundering. We are not permitted to tell you if we make such a report. This is the same for every supervised bookkeeper and accountant in the country.

Liability

Our liability to you for any claim is limited to **£[CAP]**, except where liability cannot lawfully be limited — which includes death or personal injury caused by negligence, and fraud or fraudulent misrepresentation. We carry professional indemnity insurance; the Institute of Certified Bookkeepers requires a minimum of **£50,000** for members in practice and our cover is **£[PII COVER]**.

> **Set the liability cap and the insurance figure before you send this**
>
> A cap that is higher than the insurance is worth nothing, and a cap that is obviously unreasonable will not be enforceable under the Unfair Contract Terms Act 1977. Take advice on the number. This is one of the two clauses in the whole pack most worth paying a solicitor to look at.

Signing

By signing below you confirm that you have read this letter, the Schedule of Services, our Terms & Conditions and our Privacy Notice, and that you accept them. You also authorise Klyara to act as your agent with HMRC for the taxes named in Schedule 1.

☐	Engagement letter read and signed	☐	Terms & Conditions attached and read
☐	Privacy Notice attached and read	☐	Direct debit mandate set up
☐	Identity documents sent	☐	Schedule 1 plan confirmed

Signatures

THE CLIENT	[BUSINESS NAME]
SIGNED	PRINT NAME
POSITION	DATE

KLYARA	[NAME], FOR KLYARA
SIGNED	PRINT NAME
POSITION	DATE

Two copies. One back to us, one for your file.

Sources

Every figure and deadline in this document was checked against the page listed beside it on **Wednesday 26 August 2026**. Re-check before each use — thresholds and penalties change.

WHAT WAS CHECKED	SOURCE
Scope, prices, limits and payment terms — the internal source of truth	docs/21-pricing-scope-and-quoting.md (Klyara internal)
Onboarding sequence this letter triggers	docs/12-client-onboarding-pack.md (Klyara internal)
ICB Practice Licence includes AML supervision, processed in 28 days	https://www.bookkeepers.org.uk/Running-a-Practice/Regulation/Practice-Licence
ICB minimum professional indemnity cover of £50,000, Rule 27	https://www.bookkeepers.org.uk/out/262546/ICB-Professional-Conduct-Regulations.pdf
AML record retention — five years from the end of the relationship	https://www.gov.uk/guidance/money-laundering-regulations-your-responsibilities
CIS monthly return deadline and nil returns	https://www.gov.uk/what-you-must-do-as-a-cis-contractor/file-your-monthly-returns